

GLOBAL CLEARING HOUSE | CREDIT & COUNTERPARTY RISK DIVISION

Credit Risk Monitoring

Committee Report

REFERENCE DATE	31 December 2025
REPORT CLASSIFICATION	Internal - Restricted
PORTFOLIO SCOPE	25 Entities (15 Banks / 10 Sovereigns)
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DISTRIBUTION	CRO, Risk Committee, Clearing Members Desk

This document is prepared for internal risk committee use only and must not be distributed externally.

Ratings and assessments reflect internal model outputs as of the reference date and are subject to revision.

01 EXECUTIVE SUMMARY

- **Portfolio scope:** 25 counterparties monitored (15 banks, 10 sovereigns). 18 entities are currently on the watchlist (72% of portfolio), reflecting elevated macro uncertainty and persistent spread widening across European credit.
- **Tail risk concentration:** One entity - Monte dei Paschi (Bank, Italy) - has been escalated for immediate committee action. CDS at 306 bp, negative ROE, and a CCC internal rating signal material credit deterioration requiring position review.
- **Sub-investment-grade dominance:** Only 4 of 25 entities score at BBB or above under the internal model (Nordea, JPMorgan Chase, ING Group, Intesa Sanpaolo). The remaining 21 carry sub-IG internal ratings - 11 rated B, 9 rated BB, and 1 CCC.
- **Sovereign stress is systemic, not idiosyncratic:** Eight of ten sovereigns are watchlisted. Key constraints include high debt/GDP ratios (Italy 144%, Greece 185%), weak fiscal balances, and limited FX reserve buffers. Germany remains the sole sovereign off-watchlist.
- **Market signals confirm credit stress:** CDS-bond spread correlation stands at 0.98 (30-day). Watchlist entities trade at an average CDS of 135 bp vs. 68 bp for non-watchlist - a 2x pricing differential validating internal risk segmentation. Turkey (473 bp) and Brazil (281 bp) represent the widest EM sovereign exposures.
- **Overall credit outlook:** Stable with selective downside risk. No systemic stress event is imminent. Risk remains concentrated in specific names rather than portfolio-wide. Primary watch-points: Italian sovereign trajectory, French bank profitability, and Monte dei Paschi balance sheet repair.

OVERALL PORTFOLIO OUTLOOK

STABLE - Selective downside risk

02 PORTFOLIO OVERVIEW

Entity	Type	Score	Int. Rating	CDS (bp)	Alerts	Watchlist
Monte dei Paschi	Bank	36.8	CCC	306.1	4	Yes
United States	Sovereign	40.1	B	29.7	1	Yes
Italy	Sovereign	40.6	B	147.7	2	Yes
Greece	Sovereign	42.4	B	271.5	2	Yes
France	Sovereign	45.4	B	39.9	1	Yes
United Kingdom	Sovereign	46.1	B	37.4	1	Yes
Turkey	Sovereign	46.9	B	472.9	3	Yes
Societe Generale	Bank	48.0	B	129.2	1	Yes
Spain	Sovereign	50.2	B	88.6	1	Yes
Deutsche Bank	Bank	51.3	B	123.2	1	Yes
Japan	Sovereign	54.1	B	19.4	1	Yes
BNP Paribas	Bank	54.3	B	74.2	1	Yes
Commerzbank	Bank	55.8	BB	111.6	2	Yes
Brazil	Sovereign	56.5	BB	281.3	2	Yes
Barclays	Bank	58.5	BB	78.2	1	Yes
HSBC	Bank	59.0	BB	58.3	2	Yes
Santander	Bank	59.6	BB	86.7	1	Yes
ABN AMRO	Bank	60.0	BB	70.6	1	Yes
Germany	Sovereign	61.3	BB	12.1	0	No
UniCredit	Bank	63.2	BB	61.3	0	No
UBS	Bank	64.3	BB	38.5	0	No
ING Group	Bank	65.3	BBB	41.2	0	No
Intesa Sanpaolo	Bank	68.1	BBB	55.7	0	No
JPMorgan Chase	Bank	71.0	BBB	44.1	1	No
Nordea	Bank	76.2	A	21.3	0	No

03 WATCHLIST - KEY MONITORED NAMES

18 entities meet at least one watchlist criterion: (i) internal score below 60, (ii) non-investment-grade external rating, (iii) two or more active market alerts, or (iv) score deterioration exceeding 10 points. The five highest-severity names are detailed below. Remaining 13 names are on active monitor status.

ESCALATE - Immediate Committee Action Required

Monte dei Paschi	Score: 36.8 Bank	CCC	ESCALATE
NPL ratio 12.4%, negative ROE (-2.5%), and cost-to-income at 88%. Internal score breached the CCC threshold. CDS at 306 bp and equity volatility above 46% confirm sustained market distress.		CDS	306.1 bp
		Spread	342.1 bp
		Eq 5d	+0.6%
		Vol	46.1%

REVIEW - Timely Analytical Action Required

Turkey	Score: 46.9 Sovereign	B	REVIEW
Inflation at 48%, political risk 7/10, and limited FX buffers. CDS at 472.9 bp is the widest in the portfolio, while equity volatility at 53.5% reflects persistent investor risk aversion.		CDS	472.9 bp
		Spread	402.1 bp
		Eq 5d	-1.8%
		Vol	53.5%

Greece	Score: 42.4 Sovereign	B	REVIEW
Debt-to-GDP at 185% with an active bond spread widening alert at 271.5 bp. The score remains in the lower-B range with no obvious near-term upside drivers.		CDS	271.5 bp
		Spread	283.4 bp
		Eq 5d	-2.1%
		Vol	34.8%

Italy	Score: 40.6 Sovereign	B	REVIEW
Debt-to-GDP at 144%, a structural fiscal deficit, and a 5-day equity move of -5.3%. CDS at 148 bp still signals fragile sovereign sentiment and limited rating headroom.		CDS	147.7 bp
		Spread	158.2 bp
		Eq 5d	-5.3%
		Vol	31.2%

Societe Generale	Score: 48.0 Bank	B	REVIEW
Internal B versus external A- reflects weaker liquidity and efficiency metrics. CDS at 129 bp aligns more closely with the internal view than with the external rating anchor.		CDS	129.2 bp
		Spread	122.5 bp
		Eq 5d	+0.3%
		Vol	26.3%

04 DETAILED CREDIT NOTES

In-depth assessments for one bank and one sovereign, selected on analytical significance and committee relevance as of the reference date.

Monte dei Paschi di Siena

Bank | Italy | CCC

Italy's third-largest bank by assets. Despite a 2022 state recapitalisation, structural weaknesses persist: negative profitability, legacy NPLs, and cost rigidity. It is the sole 'Escalate' entity in the current monitoring cycle.

STRENGTHS	WEAKNESSES
CET1 ratio 18.3% - well above regulatory minima, providing a capital buffer.	NPL ratio 12.4% - highest in the bank universe and roughly 4x the portfolio median.
Loan-to-deposit ratio 0.95x - balanced funding with no immediate liquidity cliff.	Negative ROE (-2.5%) and cost-to-income at 88.4% point to structural unprofitability.
State backstop preserves systemic relevance and lowers short-term insolvency risk.	CDS at 306 bp and equity volatility at 46.1% show persistent market scepticism.

MARKET SIGNALS - 31 DEC 2025		INT. RATING	ANALYST VIEW
CDS 5Y	306.1 bp	CCC Ext: B Negative	MPS is the portfolio's highest-severity name. The CCC rating reflects genuine fundamental impairment. Recommend review of exposure limits and collateral terms. Escalation to default-watch should trigger if NPLs exceed 15%, CDS remains above 400 bp, or a regulatory capital call emerges.
Bond Spread	342.1 bp		
Equity 5d Return	+0.6%		
Implied Vol (30d)	46.1%		

Republic of Turkey

Sovereign | EM | B

Widest CDS in the portfolio at 472.9 bp. Structurally high inflation, political risk, and limited monetary policy credibility are the main drivers. The internal model assigns B, broadly in line with the external B+ anchor.

STRENGTHS	WEAKNESSES
GDP growth at 4.2% remains above the EM peer average, providing a cyclical buffer.	Inflation at 48% is the highest in the sovereign portfolio and the main score drag.
FX reserves have stabilised since the 2023 policy normalisation phase.	Political risk score 7/10 keeps institutional stability concerns elevated.
The rate-hike cycle signals partial restoration of central bank credibility.	CDS at 472.9 bp and equity volatility at 53.5% are the highest in the portfolio.

MARKET SIGNALS - 31 DEC 2025		INT. RATING	ANALYST VIEW
CDS 5Y	472.9 bp	B Ext: B+ Stable / Watchlisted	Turkey's risk profile is still driven by macro variables that will not normalise quickly. A meaningful reassessment would require inflation to fall below 30%. Collateral margins should remain aligned with current CDS levels, and renewed lira weakness or political stress would justify escalation.
Bond Spread	402.1 bp		
Equity 5d Return	-1.8%		
Implied Vol (30d)	53.5%		

05 MARKET MONITORING INSIGHTS

Theme	Key Observations
CDS Trends	Elevated but range-bound across Q4 2025, with no systemic widening event. Turkey (473 bp) and Monte dei Paschi (306 bp) remained stressed throughout. Roughly 48 CDS alerts over 90 days were concentrated in two short episodes rather than a broad market shock.
Bond Spreads	CDS-bond spread correlation stands at 0.98, showing that stress is expressed almost entirely through credit markets. Greece is the only active spread alert. Peripheral spreads for Italy, Greece, and Spain remain consistent with lower-quality sovereign profiles.
Equity Volatility	Equity-volatility-to-CDS correlation is 0.82. Four entities remain above the 35% implied volatility trigger: Turkey, Monte dei Paschi, Brazil, and Commerzbank. Core developed-market bank volatility has otherwise normalised.
Stress Assessment	Systemic risk is low, while idiosyncratic risk is elevated for weaker names. Watchlist entities trade around 2x wider than non-watchlist peers on CDS, which supports the internal model's discriminatory power.

06 METHODOLOGY

- **Internal scoring (Banks):** A 7-factor weighted model on a 0-100 scale combining CET1 ratio (25%), NPL ratio (20%), ROE (15%), leverage (10%), loan-to-deposit (10%), cost-to-income (10%), and liquidity ratio (10%).
- **Internal scoring (Sovereigns):** Seven macro-fiscal factors - debt/GDP (25%), fiscal balance (20%), inflation (15%), FX reserves (15%), GDP growth (10%), political risk (10%), and current account (5%).
- **Rating mapping:** Score ranges map to AA (85-100), A (75-84), BBB (65-74), BB (55-64), B (40-54), and CCC (below 40).
- **Market alerts:** Four independent triggers - CDS widening above 20 bp over 5 days, bond spread widening above 25 bp over 5 days, 5-day equity return below -10%, and 30-day implied equity volatility above 35%.
- **Watchlist logic:** An entity is watchlisted if it breaches at least one threshold: internal score below 60, non-investment-grade external rating, two or more concurrent market alerts, or score deterioration above 10 points versus the prior snapshot.
- **Limitations:** The framework is designed for relative ranking inside a clearing-house context, not for direct default-probability estimation. Final decisions should still incorporate qualitative judgement and external intelligence.

This report was prepared by Thanh Pham, Credit Risk Analyst. All ratings, scores, and market signals are based on the internal credit risk monitoring framework as of 31 December 2025. Internal ratings do not constitute investment advice and are prepared for risk-management purposes only. Reproduction or external distribution is prohibited.